



Business analytics

More cutting-edge than business intelligence (BI), business analytics (BA) allows advanced statistical analysis of data, which is used to help make future business decisions.

How it works

BA takes a scientific approach to interpreting information. Businesses use BA's advanced software tools to analyze information about past or current trends and behavior to predict a future scenario. Unlike business intelligence or predictive analytics

that analyze current and past data, BA allows businesses to forecast with a high degree of confidence. BA can be applied on a macro level to get a broad view of future business performance and on a micro level to assess, for example, the likelihood of individuals in niche markets making purchases.

Predictive modeling

Software program that predicts patterns of behavior and the likelihood of specific sets of customers, or even individuals, making a purchase.

Business analytics process

A skilled analyst interprets the raw data using BA tools. The results influence the business actions that will be taken in the future.

BUSINESS INTELLIGENCE AND BUSINESS ANALYTICS

The example of a 5 percent sales dip shows how BI and BA can be used to examine and understand the situation.

Business intelligence

- › **Type of data investigation** Results reveal past and current event in the business.
- › **Questions answered** What has happened in the business in the past and what is happening currently?
- › **Tools used** Reporting, dashboards, scorecards, online analytical processing (OLAP)

Business analytics

- › **Type of data investigation** Examines past event in the business, and applies the patterns discovered to a future scenario.
- › **Questions answered** Why did it happen? Will it happen again? What can we do to stop it from happening again?
- › **Tools used** Statistical analysis, data mining, pattern matching, predictive modeling

93%
of IT executives
in Brazil say
that their
business could
be improved
by using big
data analytics
or intelligence